

<i>Percentage Capital Gain or Loss</i>	<i>No. of Stocks in Group</i>	<i>Percentage of Total Group</i>
200% to 1020% gain	15 stocks	11%
100% to 199% gain	18 stocks	13%
50% to 99% gain	14 stocks	10%
25% to 49% gain	21 stocks	15%
1% to 24% gain	31 stocks	22%
Unchanged	3 stocks	2%
1% to 49% loss	32 stocks	23%
50% to 74% loss	6 stocks	4%
	140 stocks	100%

These data are quite insightful. In a period when the Dow Jones averages rose 41 percent, 38 stocks, or 27 percent of the total, showed a capital loss. Six of them, or 4 percent of the total, recorded a loss of over 50 percent of their total value. In contrast, roughly one quarter of the stocks realized capital gains that would have been considered spectacular.

To drive the point home, I noted that if a person invested \$10,000 in equal amounts in the five best stocks on this list, at the outset of this four and three-quarter year period, his capital would now be worth \$70,260. On the other hand, if he had invested the \$10,000 in the five worst stocks, his capital would have shrunk to \$3,180. These extreme results were most unlikely. It would take luck, either good or bad, as well as skill, to hit either of these extremes. It would not be so implausible for a person with real investment judgment to have picked five out of the ten best stocks for his \$10,000 investment, in which case his net worth on Friday the 13th would have been \$52,070. Similarly, some investors consistently select stocks for the wrong reasons and manage to pick lemons. For them selecting five out of the ten poorest in performance is also not an entirely unrealistic expectation of results. In that case, the \$10,000 investment would have shrunk to \$4,270. On the basis of this comparison, there might be, in less than five years, a difference of \$48,000 between a wise and an unwise investment program.

A year and a half later, when I also taught this same course, I repeated the exact same exercise, with the exception that instead of using the letters A